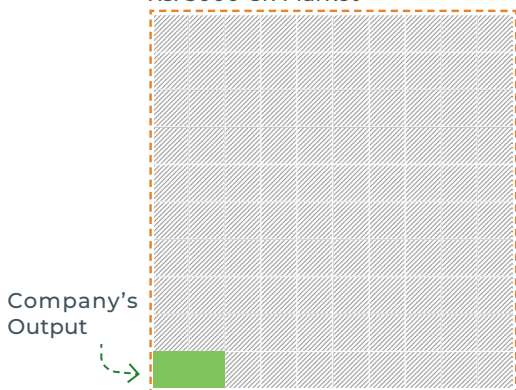




Large Market

The company ought to have a sizable market for its products to sell.

Rs. 5000 Cr. Market



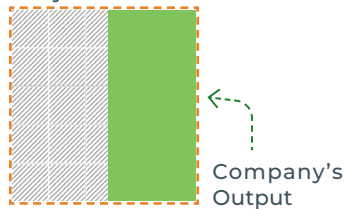
If a company is selling products worth Rs. 100 Cr. it should have a market worth of at least Rs. 5000 Cr.

For example, if we take the footwear industry

Why do we require a broad market?

If there is a small market, the company will not be able to grow beyond a point.

Footwear Industry - Rs. 500 Cr.



If it is a Rs. 500 Cr. market even if the company got 50% of it in the next few years it will still be at Rs. 250 Cr., which in itself looks like a small number when compared to other huge markets.

There are numerous difficulties in scaling in a small market. If there is a sizable market, the company can simply continue selling what they are selling and do so in great quantities.